

DAY 9 QUIZ

Question 1 (1 point)

The purpose and function of insurance has its roots in economics and _____.

Question 1 options:

perils and hazards

human life value

risk avoidance

risk reduction

Question 2 (1 point)

A hurricane is an example of _____.

Question 2 options:

a physical hazard

a speculative risk

a peril

a storm

Question 3 (1 point)

Kara and her husband Jamal want to raise a family. They understand risk, and they have decided the best way to handle risk is to _____ the loss to another party.

Question 3 options:

reduce

retain

transfer

carry

Question 4 (1 point)

Life and health insurance evolved to provide a practical solution to the economic losses associated with _____, _____, and _____.

Question 4 options:

death, sickness, accidents

loss, mourning, risk

risks, earnings, perils

hunger, pain, money

Question 5 (1 point)

Which of the following statements is CORRECT?

Question 5 options:

Only speculative risks are insurable.

Only pure risks are insurable.

Both pure risks and speculative risks are insurable.

Neither pure risks nor speculative risks are insurable.

Question 6 (1 point)

Which of the following statements describe an element of an insurable risk?

I - The loss must be due to chance.

II - The loss must be definite and measurable.

III - The loss must not be catastrophic.

IV - The loss exposures to be insured must be large.

Question 6 options:

I and II

I, II, and III

II & III

I, II, III, IV

Question 7 (1 point)

Human life value is the essence of an individual's or family's _____.

Question 7 options:

economic existence

risk tolerance

risk transference

charitable contributions

Question 8 (1 point)

Insurable interest can be present in a variety of areas. Which statement ***does not*** identify an insurable risk?

Question 8 options:

The loss cannot be due to chance.

The loss must be definite and measurable.

The loss cannot be catastrophic.

The loss exposures to be insured must be large.

Question 9 (1 point)

People buy insurance because it is one of the most effective ways of _____.

Question 9 options:

avoiding risk

transferring risk

reducing risk

retaining risk

Question 10 (1 point)

Another way of looking at human life value is called future _____.

Question 10 options:

career moves

earning potential

personal goals

personal expectations

Question 11 (1 point)

Which of the following statements about the National Association of Insurance Commissioners (NAIC) is NOT correct?

Question 11 options:

The NAIC has the authority to prosecute and punish criminal violators in the insurance industry.

The NAIC seeks to preserve state, not federal, regulations of the insurance industry.

The NAIC promotes uniformity to state insurance laws and regulations.

The NAIC works to ensure the efficient administration of insurance laws and regulations.

Question 12 (1 point)

Which of the following would not be found under the Unfair Trade Practices Act?

Question 12 options:

False advertising

Coercion

Discrimination

Rebating

Question 13 (1 point)

Which of the following is NOT a service provider?

Question 13 options:

HMO

Benefit plans offering medical services to subscribers

Lloyds of London

PPO

Question 14 (1 point)

In Florida, brokers in insurance transactions may legally represent

_____.

Question 14 options:

an insurer

the applicant and insured

the state Office of Insurance Regulation

themselves

Question 15 (1 point)

Which statement below does NOT indicate landmark cases and laws involving the regulation of insurance?

Question 15 options:

When an applicant's consumer or credit history is being investigated, insurers are required to disclose this information to the applicant.

The NAIC has standing committees working regularly to examine numerous aspects of the insurance industry.

The Federal Trade Commission (FTC) directly supervises the marketing techniques of all insurance companies.

The McCarran-Ferguson Act laid the basis for our current understanding that state governments are the primary regulators of the insurance industry.

Question 16 (1 point)

Which of the following is NOT a goal of the Buyer's Guide?

Question 16 options:

Help buyers choose the most suitable plan

Explain basic product features

Provide information about the recommended policy

Ensure that buyers obtain the lowest price for insurance

Question 17 (1 point)

What does the State Guaranty Association guarantee?

Question 17 options:

That a policy will be issued

That a claim will be paid if an insurer becomes insolvent

That dividends will be paid

The rate of return on a policy

Question 18 (1 point)

Review the statements below and identify which is correct regarding the purpose of a reinsurer.

Question 18 options:

A reinsurer accepts all risk from another insurer.

A reinsurer assumes a portion of the risk from another insurer.

A reinsurer cedes the risk.

A reinsurer does not take any risk.

Question 19 (1 point)

Industrial insurance is characterized by relatively _____ face amounts.

Question 19 options:

large

industrial-sized

small

mid-sized industrial

Question 20 (1 point)

Reinsurers are a specialized branch of the insurance industry. This is because they insure _____.

Question 20 options:

insurers

employers with high risk

applicants from Lloyds of London

applicants with low risk

Question 21 (1 point)

At what time must an insurable interest exist in life and health contracts?

Question 21 options:

After the policy is issued

Before the beneficiary is named

While the policy is enforced

At the inception of the policy

Question 22 (1 point)

What is the parole evidence rule?

Question 22 options:

Once a written contract is signed, it cannot be changed.

An oral contract cannot be modified by written evidence.

A written contract cannot be changed by oral evidence.

An oral contract takes preference over any earlier written contracts.

Question 23 (1 point)

Which of the following are NOT valued contracts?.

Question 23 options:

Life insurance

Disability income insurance

Accidental Death & Dismemberment

Medical Expense policies

Question 24 (1 point)

Identify which statement is incorrect regarding insurable interest.

Question 24 options:

Insurable interest exists when the applicant is the insured.

A policy obtained by a person without insurable interest in the insured can be enforced.

The applicant must be subject to loss upon the death, illness, or disability of the insured.

With the exception of a minor, the person to be insured must give consent before a policy is issued.

Question 25 (1 point)

Which of the following are considered competent instead of incompetent except:

Question 25 options:

An insurance company with a certificate of authority from the State

A 52-year-old diagnosed with Alzheimer's

A person 17 years old who just graduated from high school.

A 25-year-old under the influence

Question 26 (1 point)

Which of the following is a "take it or leave it" type of contract?

Question 26 options:

Aleatory

Unilateral

Conditional

Adhesion

Question 27 (1 point)

Review the statements below and identify which is accurate concerning an insurable interest.

Question 27 options:

The policy owner must expect to benefit from the insured's death.

When the insured dies or becomes disabled, the policy owner must expect to suffer a loss.

By definition, the beneficiary has an insurable interest in the insured.

The insured must have a personal or business relationship with the beneficiary.

Question 28 (1 point)

An insurance contract is not negotiated, rather it is prepared by the insurer. Which of the following statements explains this characteristic of insurance?

Question 28 options:

The insurance contract is an aleatory contract.

The insurance contract is a contract of acceptance.

The insurance contract is a contract of adhesion.

The insurance contract names only the insurer as the competent party.

Question 29 (1 point)

What makes an insurer competent?

Question 29 options:

They are registered with the NAIC.

They are licensed or authorized by the state.

They follow the Code of Ethics of the state Office of Insurance Regulation.

They register with the Security and Exchange Commission.

Question 30 (1 point)

Bill Wilson has a life insurance policy and has named his brother Kenneth Wilson as the primary beneficiary. The secondary beneficiary

is Mary, Kenneth's wife. Bill and Kenneth were riding in a car with Mary. Both Bill and Kenneth died in the car crash. Mary was the only survivor. Who will receive the life insurance proceeds?

Question 30 options:

The insurance does not go to anyone because we don't know who died first.

Mary will receive the proceeds as the secondary or contingent beneficiary.

We have to look at Kenneth's estate to see who will receive the proceeds.

No one because the insured and the beneficiary have passed away.

Question 31 (1 point)

The period specified in the free look provision begins_____.

Question 31 options:

when the policy is issued

when the policy is delivered

when the application is signed

when the application is approved

Question 32 (1 point)

What is a deceptive sales presentation?

Question 32 options:

Any presentation that gives the prospect the wrong impression about any aspect of an insurance policy

Any presentation that does not provide complete disclosure

Any presentation that includes any misleading or inconclusive product comparison

All of these are correct.

Question 33 (1 point)

What should a producer NOT do during a presentation?

Question 33 options:

Explain and educate

Sell a policy

Motivate the client

Openly discuss a policy's limitations

Question 34 (1 point)

In the selling process, when are serious problems of misrepresentation likely to occur?

Question 34 options:

Approach

Presentation of recommendations

Fact-finding and needs analysis

Policy delivery and ongoing service

Question 35 (1 point)

A sales presentation is critical in the insurance industry. What is the main goal of it?

Question 35 options:

To educate clients, empowering them to make their own decisions about what's right for them.

To sell as many products as possible to the client

To convince the client that the producer's recommendations are best.

To explain to the client the various rules and regulations around insurance products.

Question 36 (1 point)

Which of the following is NOT a provision of NAIC's Life Insurance Illustrations Model Regulations?

Question 36 options:

A written explanation or policy summary must accompany each policy illustration.

The words "vanish" and "vanishing premium" should be used sparingly in each policy illustration.

Each policy illustration needs to explain that cash values and coverage could vary based on changes in an insurer's costs and dividends.

Each policy illustration must be complete.

Question 37 (1 point)

The reason preprinted materials are recommended in the sales presentation is _____.

Question 37 options:

the agent may not know exactly how a product works.

preprinted materials save time and improve explanations.

preprinted materials have generally been reviewed for compliance.

preprinted materials act as a way for the agent to avoid answering the client's questions.

Question 38 (1 point)

The purpose behind full disclosure requirements is to _____.

Question 38 options:

ensure a client is told most of what there is to know about a product.

help a client make an informed decision.

ensure agents comply with the letter of the law.

help a client distinguish one insurer's product from a similar offering from another insurer.

Question 39 (1 point)

The producers have as much information as possible on the rating and rejection of the policy. Which of the following does not apply to the rating and rejection?

Question 39 options:

They need to explain how the underwriter rated the policy.

They need to know if it was unfavorable and why.

They need to explain if additional information is needed.

All the above are correct

Question 40 (1 point)

What does the NAIC stand for?

Question 40 options:

National Aviation Insurance Commission

National Association of Inspector Commissioners

National Association of Insurance Commissioners

Naval Academy Insurance Commission

Question 41 (1 point)

Which premium mode is least expensive?

Question 41 options:

Annual

Semiannual

Quarterly

Monthly

Question 42 (1 point)

Select the CORRECT health insurance statement.

Question 42 options:

Health insurance policies cannot be canceled by the insurer once they are issued.

Many premium-payment options are available.

Medical expense policies reimburse the insured for the costs of medical care.

Disability income policies cover hospital expenses related to a disability.

Question 43 (1 point)

Which of the following statements about reserves are true?

Question 43 options:

Reserves are set aside by an insurance company.

They are funds set aside for the payment of future claims.

A portion of each premium is set aside for reserves.

All of these are correct.

Question 44 (1 point)

Most individual health insurance is issued on a _____ basis.

Question 44 options:

participating

non-participating

claims

cost

Question 45 (1 point)

Select the CORRECT statement about health insurance policy premiums.

Question 45 options:

A "policy fee" is the same as a policy premium.

If a policy owner has an individual health plan, then the policy is probably a participating policy.

A group health insurance policy's experience rating refund credit is most influenced by the age and gender of the individual insureds.

Health insurance policies are paid on yearly basis and may be periodically increased.

Question 46 (1 point)

What are two types of health insurance reserves?

Question 46 options:

Valued contracts & Indemnity contracts

Jack & Jill Reserves

premium reserves & loss reserves

Master contracts & indemnity contracts

Question 47 (1 point)

Which statements is true about a disability income policy?

Question 47 options:

A disability income policy replaces income when wages are lost due to disability

A disability income policy covers medical expenses incurred from a disability

A disability income policy pays benefits indefinitely

A disability income policy protects the insured if he/she lives too long

Question 48 (1 point)

What does an insurance company set aside to pay future claims?

Question 48 options:

Valued contracts

Indemnity contracts

Reserves

Master contracts

Question 49 (1 point)

Which of the following plans used with High Deductible Health Plans is employee owned?

Question 49 options:

Health Savings Accounts (HSAs)

Flexible Spending Accounts (FSAs)

Health Reimbursement Accounts (HRAs)

Health Maintenance Organizations (HMOs)

Question 50 (1 point)

Group health insurance is generally issued on a _____ basis.

Question 50 options:

participating

non-participating

claims

cost

Question 51 (1 point)

In a health insurance policy, which term describes a situation where a policyowner has medical benefits assigned or paid directly to the hospital or physician?

Question 51 options:

Collateral assignment

Absolute assignment

Transfer assignment

Right of assignment

Question 52 (1 point)

Choose the INCORRECT statement pertaining to Medicaid.

Question 52 options:

Medicaid provides federal matching funds to states for medical public assistance plans.

The purpose of Medicaid is to help eligible needy persons with medical assistance.

Medicaid benefits can be applied to the deductible and coinsurance amounts of Medicare.

Medicaid limits financial assistance to persons aged 65 or over who cannot afford necessary medical services.

Question 53 (1 point)

All of the following statements concerning Social Security disability benefits are true EXCEPT:

Question 53 options:

The impairment must be expected to last at least 12 months.

The waiting period is 5 months.

The waiting period may be waived in certain circumstances.

Benefits are retroactive to the time of disability.

Question 54 (1 point)

All of the following are eligible for Medicare EXCEPT:

Question 54 options:

Those 65 or older

Dependents of those 65 or older

Folks with a chronic kidney disorder

Folks receiving Social Security Disability benefits

Question 55 (1 point)

Grouping small businesses together to obtain group insurance as one large group is characteristic of which of the following?

Question 55 options:

A Health Maintenance Organization (HMO)

A Franchise Health plan

A Multiple Employer Trust (MET)

A Fictitious group

Question 56 (1 point)

All of the following may administer self-insured plans except:

Question 56 options:

Third Party Administrators - TPAs

Administrative Services Organizations - ASOs

Actuaries

Insurance Companies

Question 57 (1 point)

Choose the individual who is most likely to qualify for Social Security disability benefits.

Question 57 options:

Randy, a ski instructor who breaks his leg

Sarah, who is sick from a viral infection and is not expected to be able to work for the next 6 months

Perry, a mechanic who loses his dominant hand in an accident

Grace, who experiences serious early-onset Alzheimer's and is unable to remember how to get to work

Question 58 (1 point)

Basic Medical expense policies do not contain which feature?

Question 58 options:

Deductibles

Room & Board benefits

Physician office visits

Miscellaneous benefits

Question 59 (1 point)

The Social Security Act of 1965 created which of the following?

Question 59 options:

Old Age Benefits

Medicaid

Survivor benefits

None of the above

Question 60 (1 point)

Which of the following statement is true about Basic Hospital, Medical, and Surgical Expense Policies?

Question 60 options:

They have high deductibles.

The benefits provided are usually equal to the actual expenses incurred.

They usually have a stated limit for specific expenses.

Benefits are provided for loss of income.

Question 61 (1 point)

Considering what you know about a hospital fixed-rate plan, which statement is NOT true?

Question 61 options:

Claim costs are not affected by rising healthcare costs.

This plan provides high benefits for relatively low premiums.

They feature simple underwriting and administration.

Benefits are paid directly to the hospital.

Question 62 (1 point)

The term FIRST DOLLAR often is used to describe benefits payable by which type of policy?

Question 62 options:

A Basic Medical Expense policy

A Disability Income policy

A Business Overhead Expense policy

A Major Medical policy

Question 63 (1 point)

There are three types of major medical policy deductibles. Which of the following is NOT one of those deductibles?

Question 63 options:

corridor

integrated

stop loss

flat

Question 64 (1 point)

Which of the following is true about coinsurance?

Question 64 options:

Coinsurance applies to the deductible as well as to claim payments.

Premiums are higher for a policy that contains a coinsurance provision than for one that does not.

It helps control overutilization of benefits.

Insurance companies can change the coinsurance ratio after the policy has been issued.

Question 65 (1 point)

How does a basic medical plan avoid small claims and keep the cost of premiums down?

Question 65 options:

- By utilizing deductibles and co-insurance
- By imposing benefit limits
- By paying only catastrophic medical expenses
- By providing a network of physicians and hospitals

Question 66 (1 point)

What is included under the basic hospital miscellaneous expense benefit?

Question 66 options:

- Surgical expenses
- Anesthesia
- Physician fees
- Room and board

Question 67 (1 point)

If all or part of a \$500 deductible is offset by a Basic Medical policy, what type of deductible applies?

Question 67 options:

Integrated

Corridor

Flat

Split

Question 68 (1 point)

Cindy has a \$500 deductible with her plan where the deductible is offset when the expense is incurred. What type of deductible is this?

Question 68 options:

Integrated

Corridor

Flat

Split

Question 69 (1 point)

The determination of the cost of a surgical procedure based on the location or general area where the procedure will take place is known as _____.

Question 69 options:

reasonable and customary approach charges

stated charges

percentage of stated charges

designated charges

Question 70 (1 point)

Jackie is covered under a hospital expense policy. Based on what you know about this plan, what type of plan is this?

Question 70 options:

Service

Limited

Fixed-rate plan

Special risk

Question 71 (1 point)

Which statement accurately describes a feature of a disability policy?

Question 71 options:

Sickness and accidents are covered immediately.

Sickness is covered immediately; accidents are covered after 15 days.

Accidents are covered immediately; sickness is covered after 15 days.

Sickness and accidents are covered after 15 days.

Question 72 (1 point)

What type of disability automatically qualifies the insured for full benefits based on a permanent physical impairment which left the individual incapable of performing their previous occupation but allows them to perform other work?

Question 72 options:

Presumptive Disability

Permanent partial disability

Temporary total disability

Temporary partial disability

Question 73 (1 point)

In certain policies, if an injury does not qualify the insured for monthly disability income benefits, what else might it make them eligible for?

Question 73 options:

Outpatient compensation

An emergency room benefit

Medical expense reimbursement

A non-disabling benefit

Question 74 (1 point)

Which endorsement is attached to a health insurance policy, stipulating that the insurer will maintain coverage without additional premiums if the insured becomes totally and permanently disabled?

Question 74 options:

Guaranteed insurability

Impairment rider

Multiple indemnity

Waiver of premium

Question 75 (1 point)

Regarding a non-disabling injury benefit, which of the following options illustrates what the policy pays?

- I. A flat amount equal to the insured's salary
- II. A percentage amount equal to the insured's salary
- III. The actual cost of medical treatment
- IV. A percentage amount equal to the weekly or monthly benefit

Question 75 options:

I

II, III

III, & IV

IV

Question 76 (1 point)

Total disability does not always occur immediately after an accident but does develop days or weeks later. A specified time frame is allowed for this, and the insured would still be eligible for benefits. What is the maximum amount of time specified in a disability income policy?

Question 76 options:

30 days

60 days

90 days

Six months

Question 77 (1 point)

The non-disabling injury benefit pays:

- a. a flat amount equal to the insured's salary
- b. a percentage amount equal to the insured's salary
- c. the actual cost of medical treatment
- d. a percentage amount equal to the weekly or monthly benefit

Question 77 options:

a

b, c

c, d

d

Question 78 (1 point)

Which of the following would not be considered a "presumptive" disability, automatically qualifying an individual for full benefits under a disability policy?

Question 78 options:

Cancer

Blindness

Loss of speech

Deafness

Question 79 (1 point)

Marcus has a disability policy with a 5-year benefit period and a 30-day elimination period. Two years into the policy, Marcus has a stroke on February 1 and is out of work for one month, returning to work the following month on March 1. Then, on June 1 of the same year, Marcus

has another stroke that leaves him permanently and totally disabled.
Which of the following statements is true?

Question 79 options:

Benefits will begin on June 1 and pay for 2 years.

Benefits will begin on June 1 and pay for 5 years.

Benefits will begin on June 1 and pay for 2 years.

Benefits will begin on July 1 and pay for 2 years.

Question 80 (1 point)

Which type of total disability insurance policy is more favorable to the insured: own occupation or any occupation?

Question 80 options:

Own occupation

Any occupation

Own occupation policies and any *occupation policies* are the same in terms of benefits to the insured.

There is not enough information to make a determination.

Question 81 (1 point)

Ginny has a \$50,000 accidental death and dismemberment policy. She received a \$15,000 cash benefit for the accidental loss of one eye. The \$15,000 benefit could be identified as the policy's _____.

Question 81 options:

principal sum

secondary sum

capital sum

contingent amount

Question 82 (1 point)

Which of the following are examples of those covered under a special risk plan?

I - An acclaimed ballerina's legs

II - Dread diseases

III - Alicia Keys hands

IV - Airplane passengers

Question 82 options:

I and III

II

I and IV

III and IV

Question 83 (1 point)

Which of the following policies would cover a student pilot taking flying lessons?

Question 83 options:

Limited risk

Special risk

Dread disease

Long-term care

Question 84 (1 point)

Which of the following is/are examples of those covered under a special risk plan?

I - Elton John's hands

II - dread diseases

III - a test pilot

IV - airplane passengers

Question 84 options:

I & III

II

I and IV

III and IV

Question 85 (1 point)

Spencer has an AD&D policy that has \$25,000 for the principal sum and \$10,000 for the loss of a hand or foot. He gets into an accident and loses a finger. How much will his policy pay?

Question 85 options:

\$25,000

\$10,000

Nothing

\$35,000

Question 86 (1 point)

If John has an AD&D policy, which plan will pay if he jumps off a ladder and severely injures his leg that it must be amputated?

Question 86 options:

Accidental results

Accidental means

Accidental measures

Accidental restitution

Question 87 (1 point)

The circumstances under which an AD&D policy benefits are paid are somewhat limited. It is widely used but is sometimes attached as a _____ on a basic life or health policy and in group insurance plans.

Question 87 options:

renewability provision

rider

golden ticket

special risk

Question 88 (1 point)

Which of the following policies would cover an accidental death or injury while riding in a car?

Question 88 options:

Limited risk

Special risk

Dread disease

Long-term care

Question 89 (1 point)

A limited risk policy covers _____.

Question 89 options:

risks not covered by accident and health policies

specific risks

all risks

unusual types of risks

Question 90 (1 point)

The capital sum in an accidental death and dismemberment policy will pay for which of the following?

I - loss of hands above the wrist

II - loss of 3/4 of the foot

III - loss of an eye

IV - all fingers (including the thumbs) on both hands

Question 90 options:

II and IV

I, II, and III

I and III

I, II, III, and IV

Question 91 (1 point)

Medicare Part A & Part B do not cover which of the following?

Question 91 options:

Rental of durable medical equipment

Home health aides

Ambulance

Routine physical exams

Question 92 (1 point)

Which of the following medical services is NOT covered under Medicare Part A and Part B?

Question 92 options:

Private Duty Nursing

Private hospital rooms

custodial care received at home

All of these services are not covered

Question 93 (1 point)

Under Medicare Part B, which of the following do participants NOT have to pay?

Question 93 options:

An annual deductible

A per benefit deductible

20% of covered charges above the deductible

A monthly premium

Question 94 (1 point)

Which of the statements below about Medicare Part B is/are true?

- I. There is an annual deductible.
- II. The insured is required to pay 20% after the deductible is met.

Question 94 options:

I only

II only

I and II

Neither I nor II

Question 95 (1 point)

Which of the following statements concerning Medicare is true?

Question 95 options:

Part B Voluntary

Part A is compulsory

Part A is paid for out of FICA taxes

All of these statements are true

Question 96 (1 point)

Which of the following is NOT covered under Medicare Part A?

Question 96 options:

Post-hospital skilled nursing care

Hospice care

Post-hospital home services

Ambulance services

Question 97 (1 point)

Which of the following groups is NOT eligible for Medicare coverage?

Question 97 options:

People aged 65 and older eligible for Social Security

People aged 65 and older not eligible for Social Security but willing to pay a monthly premium

People of any age who have been entitled to Social Security disability benefits

People with any life-threatening condition

Question 98 (1 point)

What service is NOT covered under Part A of Medicare?

Question 98 options:

Physician office visit

Hospital stay

Nursing facility care

Medical supplies

Question 99 (1 point)

Which part of Medicare requires most of the eligible participants to make premium payments?

Question 99 options:

Part A, basic hospital insurance

Part B, supplementary medical insurance

Respite care

All require a premium

Question 100 (1 point)

The lifetime reserve for Medicare is _____ days. If a patient is hospitalized beyond the _____ lifetime reserve day, thereby exhausting the reserve, he/she is responsible for _____?

Question 100 options:

30 days, 30th, a portion of the hospital charges

60 days, 60th, all hospital charges

90 days, 90th, none of the hospital charges

120 days, 120th, 20% of the hospital charges

Question 101 (1 point)

Which of the following factors is NOT considered one of the three primary premiums factors to health insurance?

Question 101 options:

Interest

Morality

Morbidity

Expenses

Question 102 (1 point)

Which factor below is NOT common to both life and health insurance?

Question 102 options:

Interest

Expense

Morbidity

Amount of Protection

Question 103 (1 point)

Which of the following factors is a primary risk factor in underwriting individual health insurance policies?

Question 103 options:

Geographical location

Salary requirements

Zip code of the insured

Physical condition

Question 104 (1 point)

What is NOT considered a moral hazard?

Question 104 options:

Habits or lifestyle

Accident-prone individuals

Overweight individuals

Marital Status

Question 105 (1 point)

Which of the following is designed to provide a short rest period for a family care giver?

Question 105 options:

Continuing care

Respite care

Custodial care

Intermediate care

Question 106 (1 point)

All are examples of chronic illnesses except _____.

Question 106 options:

pneumonia

arthritis

heart disease

hypertension

Question 107 (1 point)

All of the following are true regarding Medicare supplement or Medigap policies except:

Question 107 options:

Medicare supplements are sold by private insurance companies.

Medicare supplements are the same as Medigap policies.

Medicare supplements pay costs for Part C & Part D.

It's best to have a Medicare Advantage plan and a Medigap plan combined for more benefits.

Question 108 (1 point)

Which statement regarding long-term care insurance policies is NOT correct?

Question 108 options:

Maximum coverage periods typically extend from two to six years.

All long-term care policies currently sold must be guaranteed renewable.

Long-term care policies with long probationary periods have lower premiums than those with shorter probationary periods.

Long-term care policy premiums are solely based on the insured's age, health, and the type of benefit provided.

Question 109 (1 point)

Which of the following is NOT considered a primary risk factor in health insurance?

Question 109 options:

Treatment for chronic conditions

Excessive drinking

Mortality statistics

Occupation involving heavy equipment

Question 110 (1 point)

All the following are true concerning chronic illnesses except:

Question 110 options:

Most people ignore chronic conditions and the pain they cause

A chronic condition frequently goes beyond being a nuisance and begins to inhibit a person's independence

Chronic conditions are can affect other parts of the body

Chronic conditions allow the body to fully recover and can be managed

Question 111 (1 point)

The more favorable the renewability provision is to the insured policyholder, the _____.

Question 111 options:

premium is guaranteed

lower the premium

premium remains unchanged

higher the premium

Question 112 (1 point)

Which of the following accurately describes the free look provision?

Question 112 options:

It allows the proposed insured to look over a policy carefully before applying for it.

It allows the proposed insured to look over the application carefully before completing it.

It allows the insured to look over the issued policy for a specific number of days and return it for a premium refund if desired.

It allows the insurance company to obtain an inspection report and medical examination on the proposed insured prior to issuing the policy.

Question 113 (1 point)

How does the misstatement of the age or sex provision in a health insurance policy protect insurers?

Question 113 options:

It allows the insurer to lapse the policy if the insured's age or sex is misstated on the application.

It allows the insurer to adjust the benefits to reflect what the premiums would have purchased at the correct age or sex.

It allows the insured to change their age or sex on the policy at any time.

It allows the insurer to void the policy if the insured's age or sex is misstated on the application.

Question 114 (1 point)

The wording of a uniform policy provision in health insurance policies may be changed by a company only if the _____.

Question 114 options:

change is approved by the company's board of directors

modified provision is not less favorable to the insurer

applicant directs that it be changed

modified provision is not less favorable to the insured

Question 115 (1 point)

Which of the following is a mandatory health insurance provision?

Question 115 options:

Reinstatement

Time Limit on Certain Defenses

Notice of Claim

All answer choices are mandatory health insurance provisions.

Question 116 (1 point)

The premiums for a conditionally renewable policy may be increased _____.

Question 116 options:

reinstatement period

if increase applies to an entire class of policies

at a specified age 60 or 65

the renewability period

Question 117 (1 point)

Henry was a fire juggler who purchased a \$5,000-per-month disability benefit back in his fire juggling days. He was issued a standard policy

for which he had been paying premiums for five years. Since the policy was purchased, Henry has completed his education and is now practicing law as a trial attorney. He is attacked by a client which resulted in the loss his hand, he submits a claim. Which course of action would the company most likely follow?

Question 117 options:

The company would pay Henry \$5,000 per month.

The company would pay a higher benefit to reflect what the premium would have paid at an attorney's occupational classification.

The company would pay Henry \$5,000 and refund any higher premium cost incurred since he became an attorney.

The company would deny the claim.

Question 118 (1 point)

Optional Provisions 1 and 2, addressing changes of occupation and misstatement of age, permit the insurer to do which of the following?

Question 118 options:

They permit the insurer to cancel the policy.

They allow the insurer to request the insured to fill out a new application, to correct previous misstatements or alter information that has changed since the application was originally submitted.

They allow the insurer to charge a 'back-end' premium to make up for the premium the insurer would have charged had the true situation been known.

They permit the insurer to pay indemnities equal to benefits that would have been purchased at the premium paid had the insurer known the facts when the premium was established.

Question 119 (1 point)

Luke has had a disability income policy for seven years in which the premium is paid semi-annually. He forgot to pay the premium that was due on July 1, 2023. On July 31, 2023, he became totally disabled and notified the insurance company immediately. How will the insurance company respond?

Question 119 options:

The company will pay the full benefit.

The company will deny the benefit.

The company will adjust the benefit to reflect the premium amount that was paid to reflect the current age and sex of the insured.

The company will pay the full benefit less the premium owed.

Question 120 (1 point)

When an insured returns a policy to the insurance company within the free look period, the insurance company must do which of the following?

Question 120 options:

Refund all premiums paid

Refund the premiums paid, less issue expense charges

Refund the premiums paid, less the agent's commissions

Refund the premiums paid in excess of the cost of coverage for the time the insured had the policy

Question 121 (1 point)

A 35-year-old male computer engineer and his 35-year-old wife, also a computer engineer, apply for disability insurance. Which would pay the higher monthly premium (assuming all things are equal)?

Question 121 options:

The male programmer

The female programmer

They would both pay the same

Not enough info

Question 122 (1 point)

A 25-year-old female computer engineer and her 25-year-old husband, also a computer engineer, apply for disability insurance. Which of them would pay the higher monthly premium (assuming all things are equal)?

Question 122 options:

The male programmer

The female programmer

They would both pay the same

Not enough info

Question 123 (1 point)

Which factor would NOT affect a health insurance policy's premium?

Question 123 options:

An insured's age

An insured's occupation

The types of benefits provided

The location of the insured's residence

Question 124 (1 point)

Which of the following would exclude certain conditions from coverage under a health insurance policy?

Question 124 options:

Pre-existing conditions

Impairment rider

The insuring clause

The consideration clause

Question 125 (1 point)

It is likely that _____ would NOT be considered in underwriting a health insurance risk.

Question 125 options:

personal habits

credit rating

medical history

marital status

Question 126 (1 point)

Which options would result in certain conditions being ineligible for coverage in a health insurance policy?

Question 126 options:

Pre-existing conditions

Impairment rider

The insuring clause

The consideration clause

Question 127 (1 point)

Which of the following statements regarding health insurance underwriting is correct?

Question 127 options:

Limited risk policies are usually issued at standard rates for all occupations

The "change of occupation" provision does not apply to disability policies

Men show a lower rate of disability than women

All the above are true

Question 128 (1 point)

A(An) _____ table would show the average number of disabilities due to sickness or accidents for people in specific age groups.

Question 128 options:

mortality

morbidity

morbid

underwriting

Question 129 (1 point)

The purpose of a managed care organization is to _____.

Question 129 options:

- contain rising health care costs
- provide referrals for other providers
- promote the HMO and PPO programs
- eliminate referrals to other providers

Question 130 (1 point)

There are other risk factors used to underwrite health insurance contracts. Which one is not a risk factor?

Question 130 options:

- Age
- Salary
- Avocations
- Sex

Question 131 (1 point)

Sally pays a premium of \$50 per month for her company's noncontributory group disability income plan. If became disabled and received \$1,000 a month in benefits, how much, if any, would be considered taxable income?

Question 131 options:

\$0

\$50

\$950

\$1,000

Question 132 (1 point)

When individual disability benefits are paid directly to the individual who has paid the premium, a question of taxation arises. Which would be the most appropriate response?

Question 132 options:

The premium was tax deductible, the benefit will be considered as taxable income.

An exclusion ratio is used to determine the amount of benefit considered taxable.

The premium was tax deductible, therefore the benefit will be considered tax-free.

The premium was not tax deductible, and the benefit is tax free.

Question 133 (1 point)

How long are employers required to continue benefits for terminated employees?

Question 133 options:

12 months

15 months

18 months

24 months

Question 134 (1 point)

The CEO of a cruise ship line would like to purchase group health coverage for the cruise ship passengers. What kind of insurance would the CEO need to purchase?

Question 134 options:

Franchise health insurance

Wholesale health insurance

Blanket health insurance

Credit health insurance

Question 135 (1 point)

Which method is usually used to determine the amount of benefits payable under a group disability income plan?

Question 135 options:

Flat amount method

Percent of earnings method

Percent of disability method

Presumptive disability method

Question 136 (1 point)

Maggie has an automobile loan, and she purchased group credit, accident, and health insurance coverage. Following an accident, she was disabled for seven months. What benefits were paid under the policy?

Question 136 options:

Monthly income benefits to the insured

A total equal to 7 months of loan payments to the creditor

A total equal to one year of loan payments to the insured's creditor

Monthly income benefits to the insured and a total equal to 7 months of loan payments to the insured's creditor

Question 137 (1 point)

Participants in group medical expense plans are protected by a _____ law that guarantees a _____ of their group coverage if their employment is terminated for reasons other than gross misconduct.

Question 137 options:

State law/continuation

Federal law/continuation

State law/portion

Federal law/portion

Question 138 (1 point)

How long are employers required to continue benefits for dependents if an employee dies?

Question 138 options:

12 months

24 months

29 months

36 months

Question 139 (1 point)

_____ group health coverage usually does NOT contain a conversion privilege.

Question 139 options:

Basic medical expense

Comprehensive medical expense

Disability income

Accidental death and dismemberment

Question 140 (1 point)

Who is the beneficiary on a credit accident and health plan?

Question 140 options:

The insured

Anyone one the insured names

The lender or creditor

The borrower

Question 141 (1 point)

Which of the following is NOT a method for keeping health insurance policy premium costs to a minimum?

Question 141 options:

Modifying benefit amounts

Increasing the deductible

Waiving the right to receive benefit payments when due

Extending the elimination

Question 142 (1 point)

Which is a benefit arrangement in which employees can pick and choose from a menu of benefits to tailor their benefit package to their needs:

Question 142 options:

Disability income policies

Cafeteria Plan

Disability Buyout Plan

Business Overhead Expense Plan

Question 143 (1 point)

What is another name for a Section 125 plan?

Question 143 options:

Business overhead expense insurance

Disability buy out

A cafeteria plan

Key person disability

Question 144 (1 point)

A Business Continuation plan may include all of the following except:

Question 144 options:

Life insurance

Group insurance

Credit insurance

Disability insurance

Question 145 (1 point)

An individual major medical plan with a \$1,000 individual deductible is going to cost _____ than a comparable plan with a \$5,000 individual deductible; and a plan with an 80/20 coinsurance provision will cost _____ than a comparable plan with a 75/25 coinsurance provision.

Question 145 options:

more/more

less/less

less/more

more/less

Question 146 (1 point)

What is the difference between a group medical expense policy and an individual policy?

Question 146 options:

The group plan requires significantly more out of pocket costs

All group plans are noncontributory

The group plan is significantly less out of pocket costs

All group plans are contributory

Question 147 (1 point)

Mr. Jansen falls off a ladder at his boss' house. Which of the following plans could pay for his injuries?

Question 147 options:

Key person disability insurance

Business Overhead Expense insurance

Disability buyout plan

Disability income

Question 148 (1 point)

Bonnie works for HSON Company, which offers several health insurance options. Bonnie chooses a disability policy and a long-term care policy from the list of options. This is characterized by what type of employee benefit plan?

Question 148 options:

An overhead policy

Section 125 plan

Ancillary policies

A continuation plan

Question 149 (1 point)

Which of the following plans contains a provision allowing for a lump sum payment of the benefit?

Question 149 options:

Individual disability income policies

Disability buy-sell agreements

Key person disability insurance

A group disability policy

Question 150 (1 point)

Disability Buy-Out plans feature

Question 150 options:

Long elimination plans up to two years

Short elimination periods

Short elimination periods and benefits up to 10 years

Long elimination periods and benefits up to 10 years

Question 151 (1 point)

Who comprises the Financial Services Commission?

Question 151 options:

The Governor, CFO, Attorney General, & the Insurance Commissioner

The Governor, CFO, Attorney General, & the Agriculture Commissioner

The Governor, CFO, Insurance Commissioner, & the Agriculture Commissioner

The Governor, CFO, Insurance Commissioner, & the Speaker of the House

Question 152 (1 point)

What is the purpose of the insurance license?

Question 152 options:

TO have someone to blame when things go wrong

To help protect the general public by announcing which insurance agents commit poor business practices through public service announcements

TO help protect the general public by requiring a minimum level of insurance knowledge and competence

To help the government track the whereabouts of those conducting insurance activities

Question 153 (1 point)

A company that charges different premiums for people in the same actuarial class could be found guilty of _____.

Question 153 options:

twisting

unfair discrimination

segregation

unfair trade practices

Question 154 (1 point)

A licensee is required to complete 24 hours of continuing education if they have been licensed for less than 6 years. How many of those hours are required for ethics and law?

Question 154 options:

5

3

4

1

Question 155 (1 point)

An agent may write controlled business provided she writes at least what percentage of other similar business?

Question 155 options:

25%

50%

75%

100%

Question 156 (1 point)

Which of the following is not a condition of defamation?

Question 156 options:

It may be derogatory.

It is not meant to be maliciously critical.

It can be written (libel).

It can be spoken (slander).

Question 157 (1 point)

Which statement(s) is/are true?

I – Record retention requirements for agents is five years

II - No person other than a licensed and appointed agent may accept any commission or other valuable compensation for soliciting and negotiating insurance.

III – A fiduciary is a person in a position of special trust and confidence.

IV – If a license as an agent has been revoked from soliciting or sale of insurance products to a person over 65 years of age or older, the department may not thereafter grant or issue any insurance license to such individual.

Question 157 options:

I

I, II, and III

IV

I, II, III, and IV

Question 158 (1 point)

Which statement(s) is/are true?

I - Notification to the Department of Insurance is required within 30 days of change of address.

II - Notification to the Department of Insurance is required within 30 days of change of company.

III - An agent will lose licensure as a result of 1-year non-appointment.

IV - An agent will lose licensure as a result of 4 years non-appointment.

Question 158 options:

I

I, II, and III

IV

I and IV

Question 159 (1 point)

The term *agency* refers to which of the following?

Question 159 options:

Agent

Adjuster

Location

All of the above

Question 160 (1 point)

To be a licensed resident producer in Florida, you must complete all the following tasks EXCEPT _____.

Question 160 options:

provide a criminal background check

pay a refundable application fee

finish the pre-licensing education requirements

provide any other information required by the state

Question 161 (1 point)

Which of the following is NOT a provision that is required by Florida law for group health insurance policies?

Question 161 options:

Group health policies must provide coverage for mental and nervous disorders.

A newborn infant is covered from the moment of birth.

Coverage must be provided for a handicapped child who is a family member until he or she reaches the age of 25.

Group health policies must provide coverage for a newborn infant of a covered family member until the infant reaches 18 months of age.

Question 162 (1 point)

Which of the following statements is true?

Question 162 options:

An insurer may not cancel or not renew for diagnosis of HIV/AIDS, but it may cancel or not renew for treatment of HIV/AIDS.

An insurer may cancel or not renew for diagnosis of HIV/AIDS but may not cancel or not renew for treatment of HIV/AIDS.

An insurer may cancel or not renew for diagnosis or treatment of HIV/AIDS.

An insurer may not cancel or not renew for diagnosis or treatment of HIV/AIDS.

Question 163 (1 point)

Which of the following is not correct concerning the insurer's obligation to the applicant regarding HIV testing?

Question 163 options:

The insurer must disclose its intent to test a person for HIV prior to testing for HIV/AIDS.

The insurer must get the person's written consent to administer the test.

The insurer must notify the insured of any positive results.

The insurer may inquire whether a person has been tested positive for exposure to the HIV infection.

Question 164 (1 point)

Which of the following is NOT correct concerning policy limitations and exclusions?

Question 164 options:

Pre-existing conditions or diseases are acceptable

Alcoholism and drug addiction are acceptable

The insurer can exclude Alzheimer's disease

Participation in a felony, riot or insurrection

Question 165 (1 point)

Which of the following statements regarding the required provisions of a health insurance policy is NOT accurate?

Question 165 options:

Annual pay policies have a grace period of 31 days.

An entire contract clause indicates that the policy endorsement and attachments constitute the entire contract.

Reinstated policies provide immediate coverage for illnesses.

Claim forms are required to be sent to the insured within 15 days of notice of claim.

Question 166 (1 point)

Which statement about group health insurance policies is CORRECT?

Question 166 options:

Coverage from an occupational accident cannot be excluded.

Coverage for newborn children can be excluded.

Coverage for VA hospital treatment cannot be excluded.

Coverage for handicapped children may be provided.

Question 167 (1 point)

The HIV/AIDS written consent form must include all of the following information except _____.

Question 167 options:

meaning of its results

its purpose

potential uses

sexual orientation

Question 168 (1 point)

Prior to testing for HIV/AIDS all of the following should happen except _____.

Question 168 options:

Disclose its intent to test the person for HIV

Must obtain the written informed consent to administer the test

Using sexual orientation to assist in underwriting

If applicant is positive have the results given by a physician or the
Dept. Of Health

Question 169 (1 point)

Which of the following statements is NOT true?

Question 169 options:

The agent is responsible for completing the application.

An insurer may cancel or not renew for diagnosis of HIV/AIDS but
may not cancel or not renew for treatment of HIV/AIDS.

A long-term care policy can have an elimination period for up to 180
days

An applicant shall be notified of a positive test result of HIV/AIDS
by the agent within 10 days.

Question 170 (1 point)

Which of the following would a blanket policy NOT cover?

Question 170 options:

A group of engineers

Individuals on a cruise ship

Individuals in an employer group policy with less than 15 people

An airline covering its passengers

Question 171 (1 point)

The law requires that each HMO that offers a group plan within Florida must have an open enrollment period of not less than _____ days during every _____ months.

Question 171 options:

10 & 1

15 & 24

30 & 18

45 & 6

Question 172 (1 point)

Which of the following statement about health service organizations is true?

Question 172 options:

They provide loss of income benefits to policyowners

They provide benefit payments directly to the hospitals and physicians providing service

They reimburse policy owners directly for physicians fees

They reimburse policy owners directly for all medical expenses

Question 173 (1 point)

Choose the term that is NOT considered an unfair trade practice with regard to HMOs.

Question 173 options:

Defamation

Misrepresentation

Conversion

Twisting

Question 174 (1 point)

What does the term *copayment* mean?

Question 174 options:

The set amount per visit or per service that the subscriber is required to pay

The amount the HMO reimburses to the subscriber if he or she visits a physician outside the service area

The amount the HMO pays the physician for each patient treatment

Another name for the word *premium*

Question 175 (1 point)

What is the purpose of the Florida HMO Consumer Assistance Plan?

Question 175 options:

To helps low-income families pay for HMO coverage

To explain HMO coverage to consumers

To adjudicate subscribers' contested claims against HMOs

To provide or arrange coverage for subscribers of HMOs that become insolvent

Question 176 (1 point)

Health Maintenance Organizations (HMO)

Question 176 options:

Are considered the same as a PPO

Can sell insurance to subscribers

Are not allowed to deal with Medicare recipients

Are considered prepaid service systems

Question 177 (1 point)

HMOs are known for stressing:

Question 177 options:

A wide array of choices

Fee-for-service schedules

Unlimited services

Preventive health care and early detection and treatment

Question 178 (1 point)

HMO services are paid:

Question 178 options:

In advance of any treatment

After treatment is complete

During the treatment

By the HMO and the subscriber

Question 179 (1 point)

What does the term *capitation* mean?

Question 179 options:

The HMO's premium

The amount the physician pays for each member

The amount of capital the HMO possesses

The value of the HMO capital improvements

Question 180 (1 point)

Saved

The law requires that each HMO that offers a group plan within Florida must have an open enrollment period of not less than _____ days during every 18-month period.

Question 180 options:

15

30

45